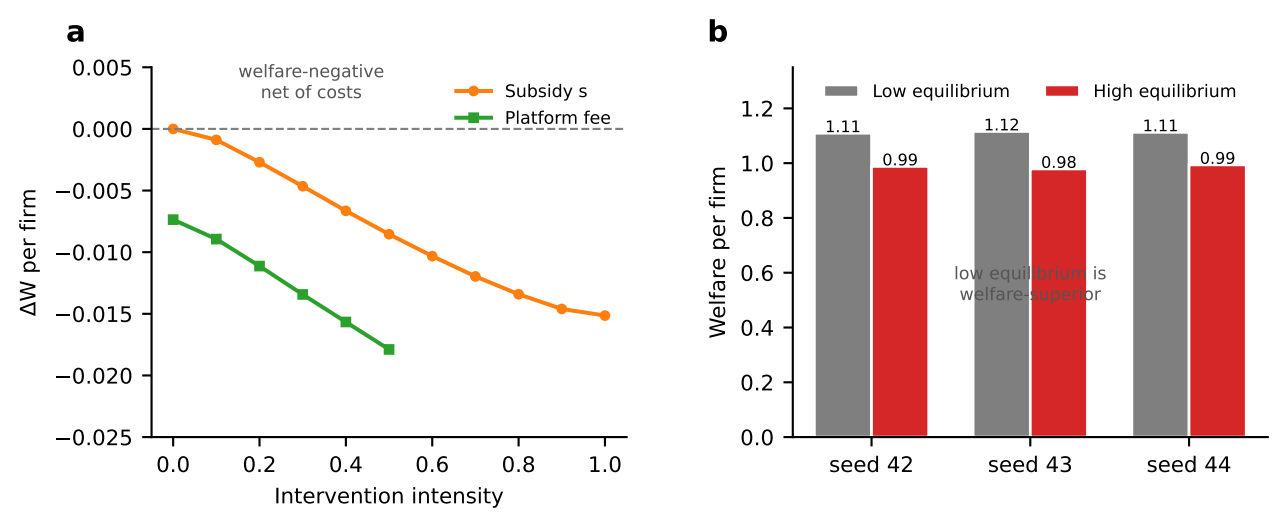
a
welfare-negative
net of costs
Subsidy s
Platform fee
ΔW per firm
0.005
0.000
−0.005
−0.010
−0.015
−0.020
−0.025
0.0
0.2
0.4
0.6
0.8
1.0
Intervention intensity
b
Low equilibrium
High equilibrium
Welfare per firm
1.2
1.0
0.8
0.6
0.4
0.2
0.0
1.11
0.99
1.12
0.98
1.11
0.99
low equilibrium is
welfare-superior
seed 42
seed 43
seed 44